

The difference at Supercycle degree is even clearer. Political events were *scary and dangerous* in the 1930s and 1940s. They included totalitarian takeovers of vast territory, war on an unprecedented scale, state directed murders of forty million people, countless atrocities, the invention and deployment of atomic bombs, and the annihilation of cities. These events reflected the negative social psychology of a Supercycle degree bear market. *That period also presented one of the greatest stock buying opportunities of all time.*

Events of *recent years*, as chronicled above, are the *opposite* of the social spectacle of the 1930s and 1940s. Are these events, deeply welcome as they are otherwise, reflective of a buying opportunity? Well, if today's fundamental conditions are the opposite of what they were at previous buying opportunities, then is it not logical that the current juncture in the stock market is the opposite of a buying opportunity? During which set of conditions should you become fully invested and during which should you be selling out to the crowd? Buying stocks in which environment will make you rich? Under-

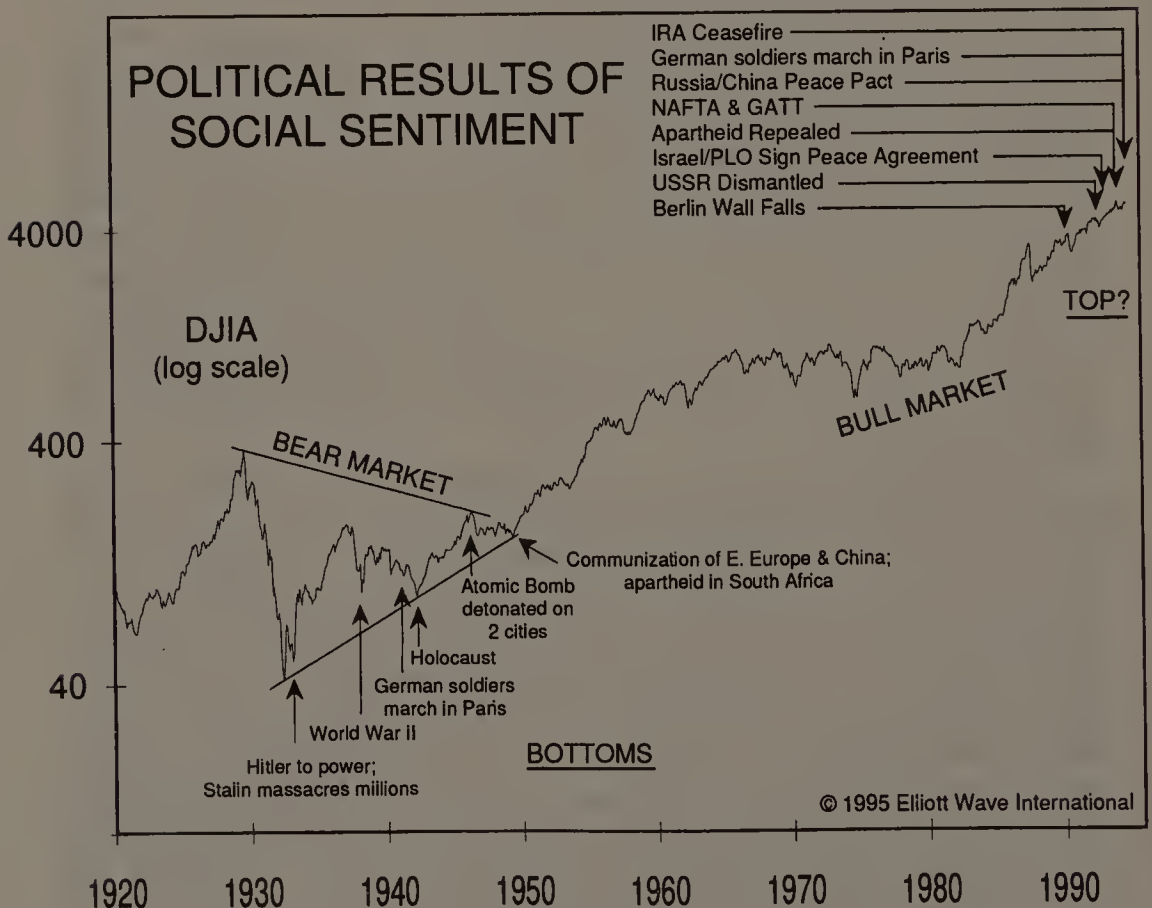


Figure 12-1